

Business Law

Lectures 12 and 13

Company Law I and II

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Company Law I
and II

AGENDA

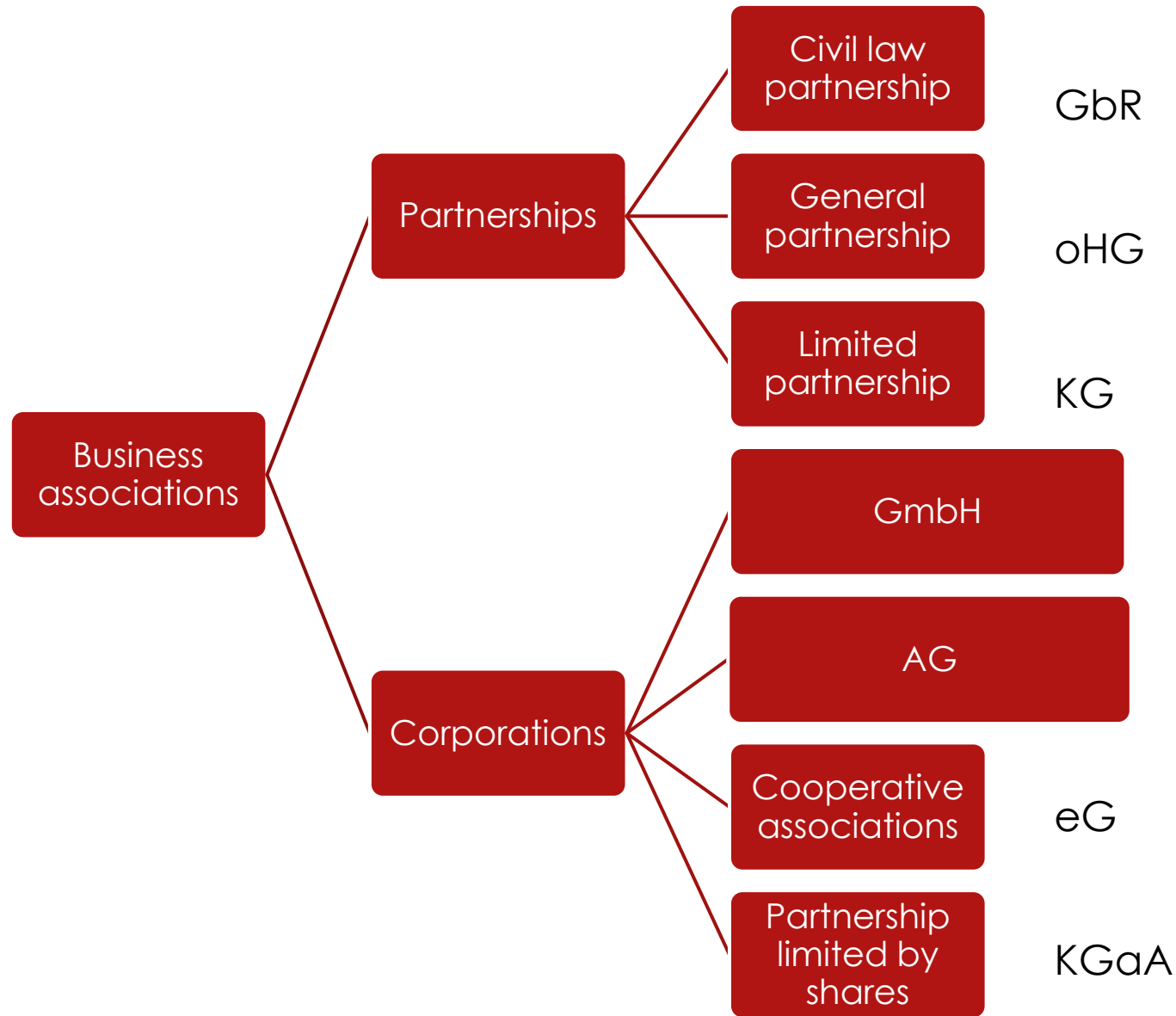
OVERVIEW

PARTNERSHIPS

**GMBH – GESELLSCHAFT MIT
BESCHRÄNKTER HAFTUNG**

AG – AKTIENGESELLSCHAFT

**CORPORATE GOVERNANCE/
CORPORATE SOCIAL RESPONSABILITY**

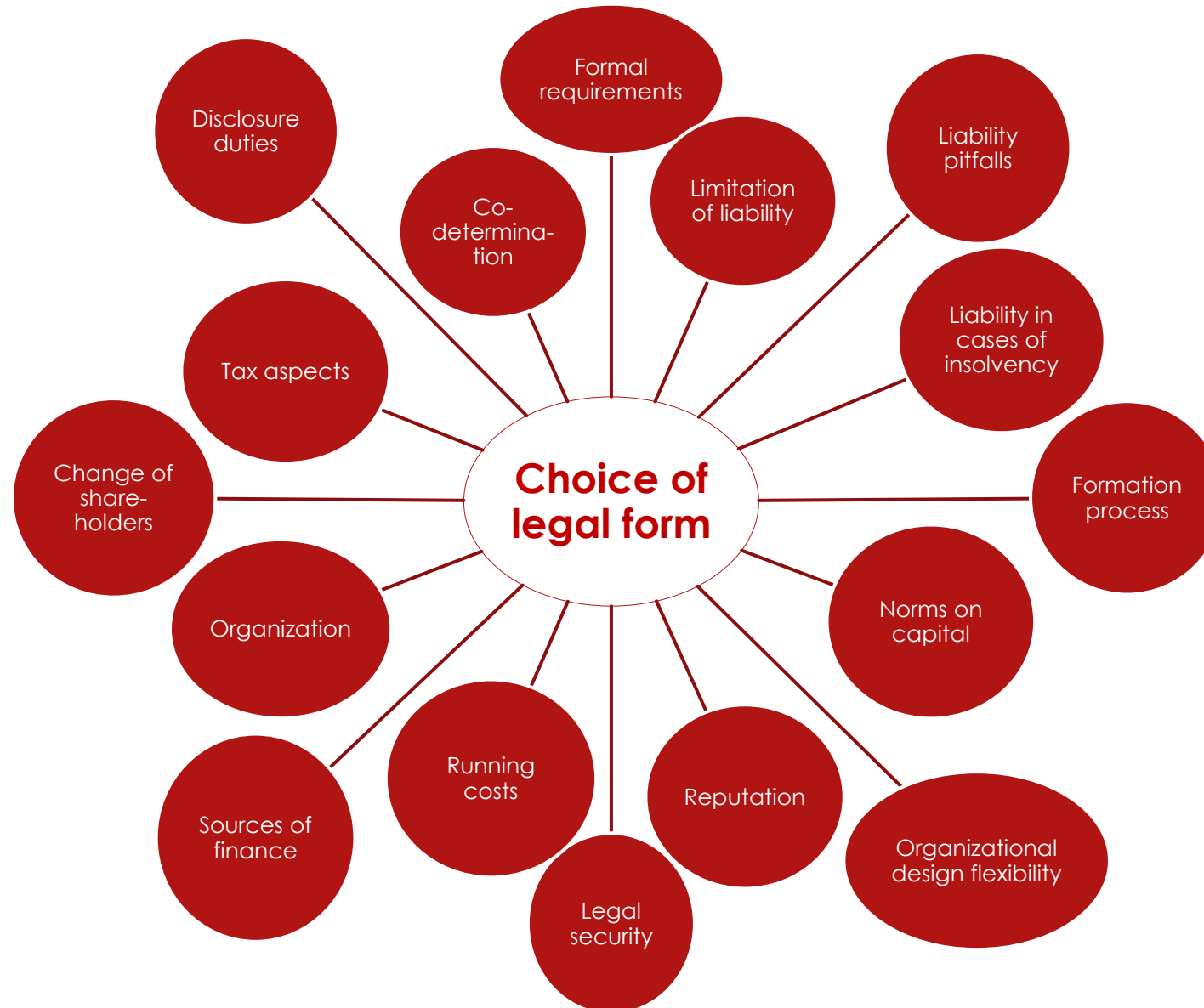


Also possible:

- GmbH & Co. KG
 - Limited partnership with GmbH as fully liable owner
- UG (haftungsbeschränkt)
 - “Mini” GmbH with limited liability
- European corporations:
 - SE (European stock corp.)
 - SCE (European cooperative assoc.)
 - EEIG (European Economic Interest Grouping)

- Basic differentiation in law of business associations:

	Partnerships (e.g. GbR)	Corporations (e.g. GmbH)
Basic form	Civil law partnership (GbR) → very dependent on individual partners	Registered society (e.V.) → independent from individual members
Representation	One shareholder must be director	Special board, not necessarily shareholder
Taxation	Every shareholder is taxable individually	Corporate tax
Liability	Someone is liable with his private assets	Liability is restricted to corporate funds
Examples	GbR, oHG, KG, mixed forms like GmbH & Co. KG	GmbH (UG), AG, SE, KGaA



Partnerships – Overview

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- GbR, oHG, KG and mixed forms
 - Partnerships are not legal persons
 - Still legally independent
- GbR (civil partnership) as basic form, § 705 et seq. BGB
 - Often founded tacitly in cases of joint endeavor
 - Personal liability
 - Regulations on GbR apply to oHG and KG if there are no more specific rules
- Commercial business requires an oHG or KG (= merchants)
 - oHG, §§ 105 et seq. BGB: every partner is personally liable
 - KG, §§ 161, 105 et seq. BGB: 1 partner limited, 1 partner unlimited
 - Registration in commercial register required

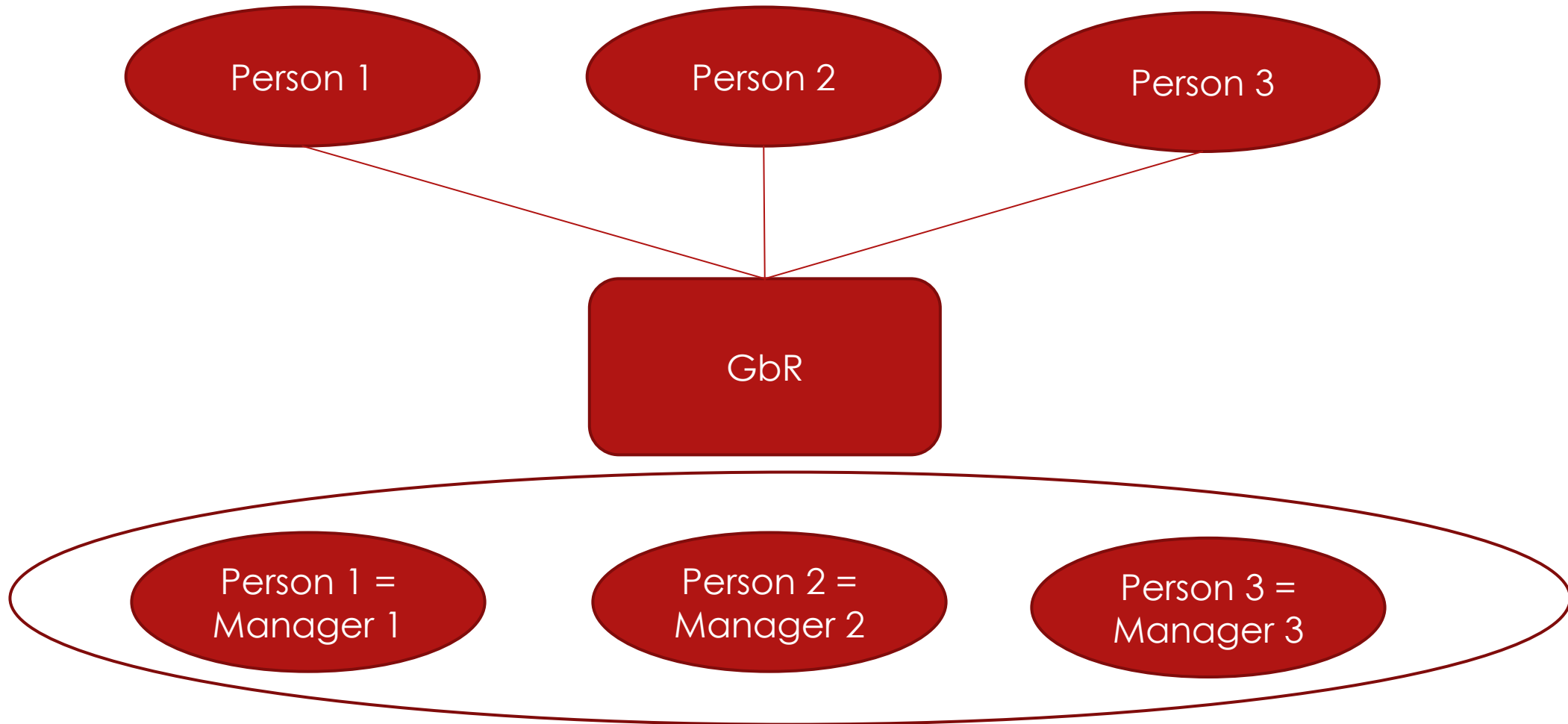
Partnerships – Overview

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- Partnerships depend on the individual partners more than corporations
 - Principle of representation through partner
 - Principle: Unanimous management authority in GbR
 - Principle: Unanimous agreement with all partners especially for
 - Inclusion of new partners
 - Transfer of membership

Partnerships – Governance

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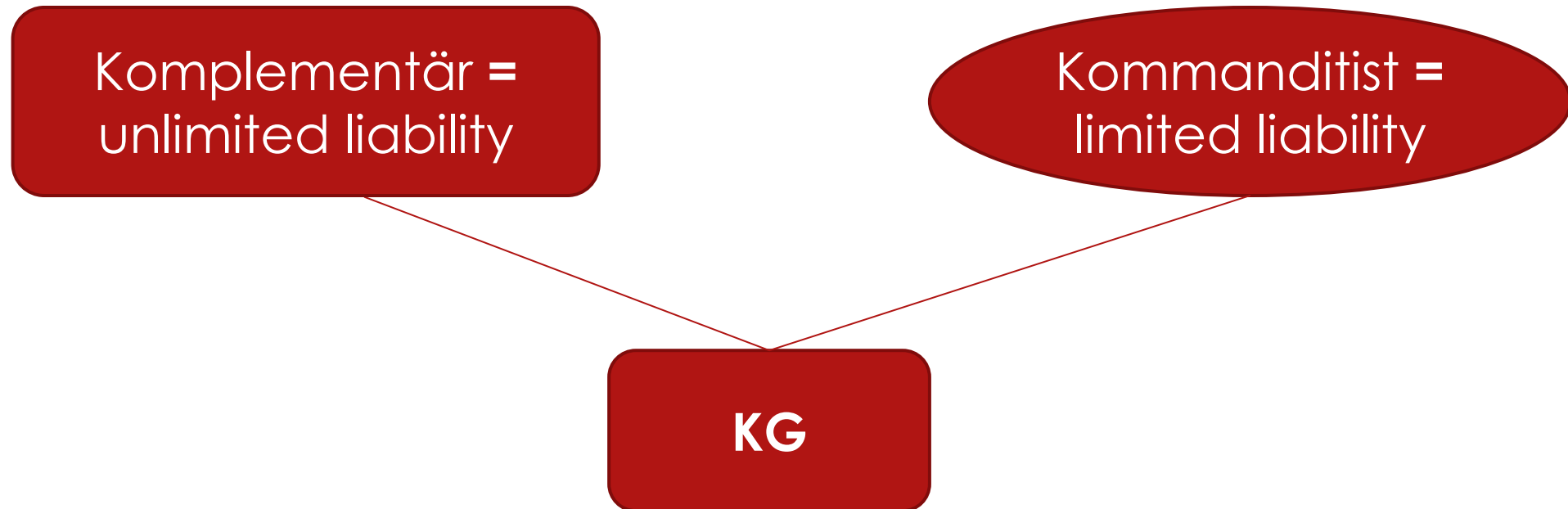
Partnerships – Unlimited Liability

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- Standard: Unlimited liability
 - Every private individual is liable with his whole assets
 - Arising of liability can be limited to some extent in contracts
 - But: Accidentally damaging other people or their belongings;
few restrictions in tort law
 - If liability is given, it spans to all assets without limitation

Partnerships – Limited Liability

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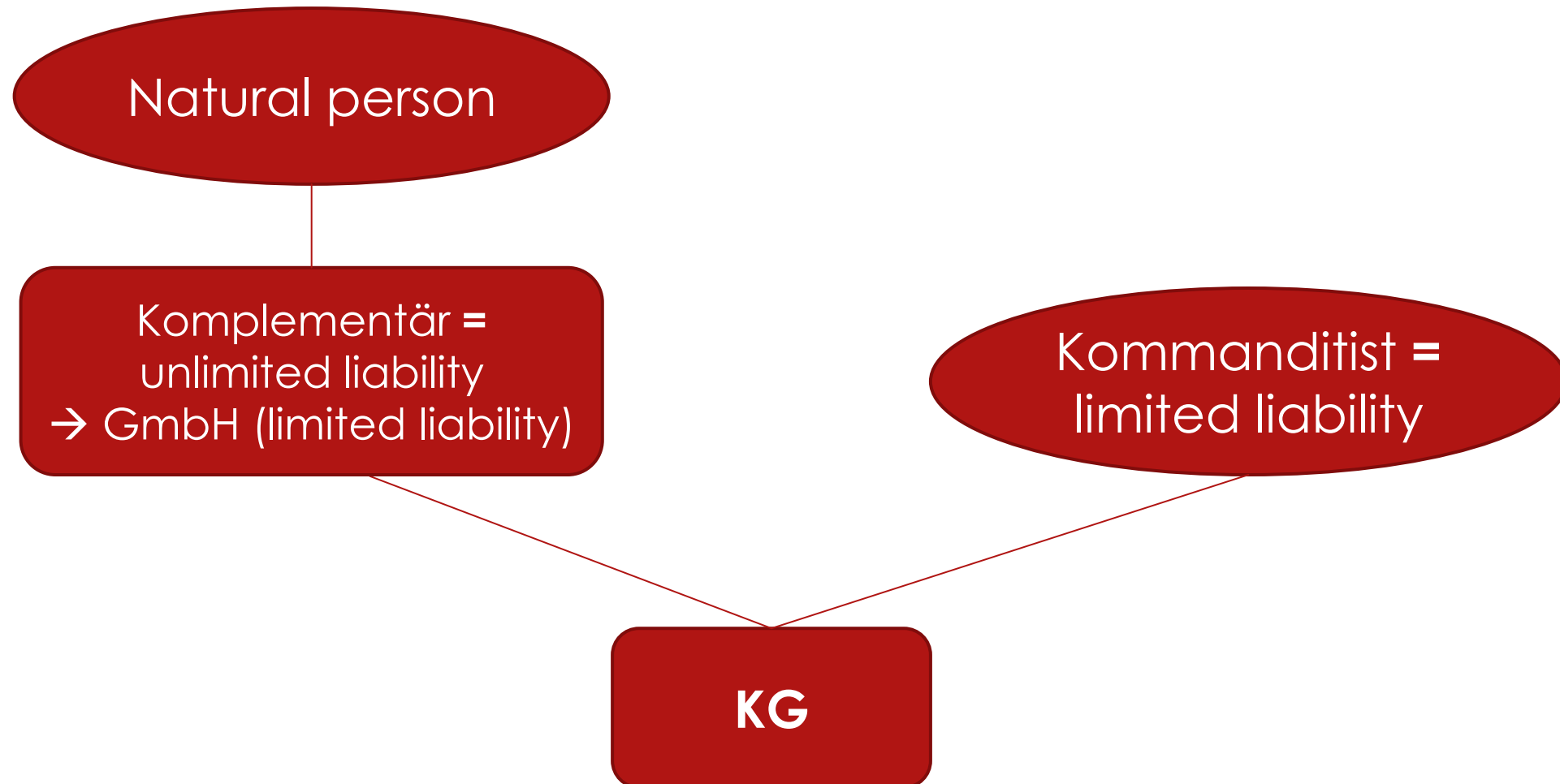
Partnerships – Liability

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- Economically “wrong“ business decisions may lead to bankruptcy of the merchant as private person, esp.:
 - High frequency and size of transactions
 - High risks
- Need for protection against total liability
 - Reduced risk-aversion and favoring of innovation, capital pooling
- Scope of liability can be limited to the business property due to formation of certain associations, esp.:
 - GmbH = Gesellschaft mit beschränkter Haftung
(Limited liability company)

Partnerships – Limited Liability

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- GmbHG as own statute; 1892
- Most important legal form of business associations (> 1 Mio GmbH)
- Independent legal person with own rights and obligations, § 13 GmbHG
- Merchant by form, §§ 6 HGB, 13 GmbHG
- Every legal purpose is possible, e.g.:
 - Conducting commercial business
 - Asset or investment management

GmbH – Limited Liability

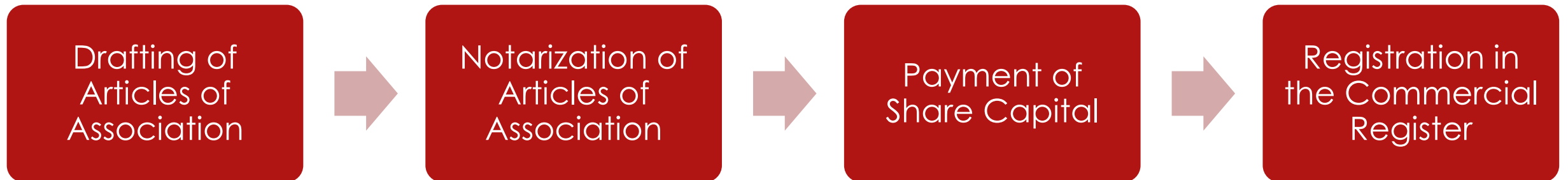
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- Limited liability company = hint in the title
- GmbH itself is liable with its **whole property**, § 13 II GmbHG
- Shareholders are **not** liable with their private property
 - Principle of separation between company assets and private assets
 - Scope of liability limited to the shares in the GmbH if shareholders paid their capital contribution in full
 - If GmbH's capital is depleted, shareholders don't have to compensate in general
- “Price” for limitation of scope of liability is the minimum capital stock
 - 25.000€

GmbH – Formation

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- Four steps to forming a GmbH
- §§ 1 – 12 GmbHG



- Cost approx. 1.250€ (plus share capital); duration: 4-6 weeks
- Alternative: Shell company

1. Drafting of Articles of Association (AoA)

- AoA define the structure of your company
- Mandatory content acc. to § 3 I GmbHG:
 - Business name
 - Company object
 - Registered office
 - Appointment of managing director
 - Share capital: minimum 25.000€

- Facultative content, e.g.
 - Distribution of votes in the shareholders meeting
 - Convening of and mode of resolutions
 - Scope of the power of representation of the managing directors
 - Transfer of shares
 - Distribution of profits
 - Rules for internal conflicts between the shareholders



Many possibilities!

Sample AoA

Attorney

Anlage

(zu § 2 Abs. 1a)

a) Musterprotokoll
für die Gründung einer Einpersonengesellschaft

UR. Nr.

Heute, den

erschien vor mir,
Notar/in mit dem Amtssitz inHerr/Frau¹⁾
.....
.....²⁾.

1. Der Erschienene errichtet hiermit nach § 2 Abs. 1a GmbHG eine Gesellschaft mit beschränkter Haftung unter der Firma
mit dem Sitz in

2. Gegenstand des Unternehmens ist

3. Das Stammkapital der Gesellschaft beträgt €
(i. W. Euro) und wird vollständig
von Herrn/Frau¹⁾
(Geschäftsanteil Nr. 1) übernommen. Die Einlage ist in Geld zu erbringen,
und zwar sofort in voller Höhe/zu 50 Prozent sofort, im Übrigen sobald die
Gesellschafterversammlung ihre Forderung beschließt³⁾.

4. Zum Geschäftsführer der Gesellschaft wird Herr/Frau⁴⁾
geboren am, wohnhaft in, bestellt.
Der Geschäftsführer ist von den Beschränkungen des § 181 des Bürgerlichen Gesetzbuchs befreit.

5. Die Gesellschaft trägt die mit der Gründung verbundenen Kosten bis zu einem Gesamtbetrag von 300 €, höchstens jedoch bis zum Betrag ihres Stammkapitals. Darüber hinausgehende Kosten trägt der Gesellschafter.

6. Von dieser Urkunde erhält eine Ausfertigung der Gesellschafter, beglaubigte Ablichtungen die Gesellschaft und das Registergericht (in elektronischer Form) sowie eine einfache Abschrift das Finanzamt – Körperschaftsteuerstelle –.

7. Der Erschienene wurde vom Notar/von der Notarin insbesondere auf Folgendes hingewiesen:

Sample articles of association

- „Quick, cheap and easy“
- Reduce cost of formation
- Fulfills statutory requirements
- Possible for GmbH with up to three shareholders and one managing director

2. Notarization of Articles of Association

- Drafting and notarization are combined regularly
- Performed by a notary
- Founding shareholders adopt the AoA and sign it in person
- Every alteration needs to be notarized again
 - Plan ahead and think about the company's needs when drafting the AoA to minimize costs of notarization

3. Payment of Share capital

- Opening of a bank account in the company's name
- Deposition of the share capital of 25.000€ (12.500€) or more
- Contribution in kind acc. to § 5 IV GmbHG
 - E.g. car, house, laptops, machines
 - Specification of value (annex to AoA)
 - Expert report may be necessary
 - Complex procedure to secure effective capital raising

4. Registration in the Commercial Register

- Notary forwards AoA to Commercial Register
- Registration and publication in the Commercial Register
- Constitutive registration, § 11 II GmbHG
→ Fully formed GmbH

- GmbH is represented by one or more directors (jointly), § 35 GmbHG
- Power of representation can be limited by articles of association only with effect in internal relationship, § 37 GmbHG
- Appointment of director can be revoked at any time by resolution of shareholder meeting, § 38 GmbHG
 - Director is not an employee, therefore lacks employee's statutory protection
 - Shareholder can be director

- § 43 I GmbHG imposes duties on director
 - Duty of loyalty, e.g.: putting the companies' interests first, prohibition of competition
 - Duty to care, e.g.: complying with company's external obligations, compliance, due and proper corporate management
- Strict duties in case of imminent bankruptcy, § 15a InsO
- Director is personally liable for violation
- Directors are bound by the resolutions of the shareholder meeting

- Most important corporate body for formation of company's objectives by shareholder's resolutions
- Decision regularly by simple majority vote
 - Higher majority for crucial decisions (changing AoA)
- Certain things must be decided by shareholder meeting, § 46 GmbHG
 - E.g.: appointment and dismissal of the director
 - Appointment of Prokuristen
 - Damage claims against director

- Asset, information and co-management rights
 - Right to participate in the profits, § 29 GmbHG
 - Use of profits is regulated by shareholder's resolution, § 46 Nr. 1 GmbHG
 - Division of profits according to proportion of shares; articles of association may change the division
 - Right to information on GmbH's business affairs
 - Right to co-management by participation and voting in shareholder's meeting

- Regularly not obligatory in contrast to AG
 - If GmbH employs more than 500 people a supervisory board must exist
- See information on AG
 - Same rights and duties as in AG supervisory board

Directors

(Supervisory Board)

Shareholder
Meeting

GmbH – Benefits and Downsides

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Benefits	Downsides
Liability is limited to the company's assets	Foundation requires a notary and might be costly
GmbH is very renowned nationally and internationally	25.000€ share capital
Tax law opens possibilities to save taxes e.g. managing director's salary = business expense	Accounting for GmbH is regulated e.g. annual financial statement is needed
A change of shareholders is easier than in private corporations	Annual financial statement needs to be published
Managing director doesn't have to be a shareholder	Harder to get a loan as liability is limited to company's assets → bank might ask for personal securities
Very flexible	

- Total tax burden on profits just below 30%
- Taxation on profits is divided into two parts
 - Federal corporate income tax (15%)
 - Municipal trade tax (approx. 15%, depending on location of registered office)
- Distribution of profits to shareholders is taxed by withholding tax of 25% (Kapitalertragsteuer)
- Possibilities for tax optimization like loss carry-forward or deductibility of business expenses (e.g. manager's salary, company car's rates etc.
→ complex structures are not useful for small companies)

GmbH – Unternehmergesellschaft (UG)

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- “Mini-GmbH”
- No minimum share capital (1€ is enough)
 - Only money (no contributions in kind)
 - All the agreed money immediately
- “Cheap” option for founders
- Popular: more than 100.000 UGs
- Name: Unternehmergesellschaft (haftungsbeschränkt)
- Lower reputation than GmbH
- Challenge: If you need a loan, bank might ask for personal securities

- Surplus utilization is subject to shareholders resolution
- At least 25 % of the annual surplus must be placed in a reserve, § 5a III GmbHG
- Possible violations of § 5a III GmbHG?
 - Invalidity of the adoption of the annual financial statements (§ 256 AktG by analogy)
 - Invalidity of the resolution on the appropriation of profits (§ 253 AktG by analogy)

- Corporation and legal person like GmbH
- Governed by German Stock Corporation Act (AktG)
- Used by big companies
- Liability is limited to assets of the AG, § 1 I 2 AktG
- Listed and unlisted AG are possible
- Dispersed ownership or all shares belong to few individuals
- Societas Europaea = European form of AG

- Foundation of company directly as AG
 - Shareholders contribute in cash or in kind
- Often: transformation of existing company (e.g. GmbH) to AG by form-changing conversion (acc. to Transformation Act)
 - Suitable for growing companies with capital requirement
- AoA are more strictly regulated by law, § 23 V AktG
 - Deviation from law only if explicitly permitted
 - Stronger protection of shareholders; standardization; ease of share trade
- Stock capital of 50.000€; stricter rules of capital raising than GmbH

General Assembly

↓ Election of members of the supervisory board; dismissal of board, §§ 101 et seq. AktG; Basic decisions, § 119 AktG

Supervisory Board

↓ Appointment/dismissal of members of board of directors, § 84 AktG;
Supervision, § 111 AktG

↑ Mandatory reporting, § 90 AktG

Board of Directors

- Monistic (vs dualistic model [Germany])
 - US: only administrative board/board of directors
- Dualistic model = two tier system;
 - Board of directors:
 - Management of business, representation
 - Stockholders don't have a right to give instructions (unlike GmbH shareholders)
 - Supervisory board:
 - Appoints and dismisses directors, supervises
 - Representation only towards board of directors
- Separation improves scrutiny; more complex organization

Corporate Governance

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Dualistic system

Monistic system

Ownership

General Assembly

General Assembly

Ownership

Control

Supervisory Board

Administrative Board

Control +
Management

Management

Board of Directors

- Principal-agent-dilemma
 - Information asymmetries between management and stakeholders
 - Divergence of interests; hidden intentions/actions/characteristics

- Corporate Governance as a solution for this dilemma
 - Guidelines for the management and supervision of a company
 - Goal: efficient and transparent company management to increase total welfare
 - Different aspects depending on the relationship
 - German Corporate Governance Codex (DCGK)

- Organization of the company:
 - Supervisory board of the AG
 - Worker participation (co-determination)

What are the main differences between partnerships and corporations?

What are typical corporate bodies of corporations?